



February 28, 2025

Representative Steve Montenegro
Speaker of the House
1700 W Washington St, Room 223
Phoenix, AZ 85007

Representative Nancy Gutierrez
Assistant Minority Leader
1700 W Washington St, Room 330
Phoenix, AZ 85007

Representative Neal Carter
Speaker Pro Tempore
1700 W Washington St, Room 204
Phoenix, AZ 85007

Representative Quantá Crews
Minority Whip
1700 W Washington St, Room 321
Phoenix, AZ 85007

Representative Michael Carbone
Majority Leader
1700 W Washington St, Room 208
Phoenix, AZ 85007

Representative Stacey Travers
Minority Whip
1700 W Washington St, Room 322
Phoenix, AZ 85007

Representative Julie Willoughby
Majority Whip
1700 W Washington St, Room 207
Phoenix, AZ 85007

Representative Seth Blattman
1700 W Washington St, Room 125
Phoenix, AZ 85007

Representative Oscar De Los Santos
Minority Leader
1700 W Washington St, Room 320
Phoenix, AZ 85007

RE: Letter in Opposition to Arizona HB 2861

Dear Speaker Montenegro, Speaker Pro Tempore Carter, Majority Leader Carbone, Majority Whip Willoughby, Minority Leader De Los Santos, Assistant Minority Leader Gutierrez, Minority Whip Crews, Minority Whip Travers, and Rep. Blattman:

On behalf of the responsible digital advertising industry, we oppose Arizona HB 2861.¹ We write to express our significant concerns with the proposed legislation and provide a non-exhaustive list of those concerns below.

We and the companies we represent, many of whom do substantial business in Arizona, strongly believe consumers deserve meaningful privacy protections supported by reasonable government policies and responsible industry practices. However, as presently drafted, HB 2861 raises significant First Amendment concerns for Arizona minors and businesses alike, similar to

¹ Arizona HB 2861 (Reg. Sess. 2025), located [here](#).



concerns raised by a comparable law in Texas.² The bill would also have negative effects on Arizona minors by limiting the content and information available to them. **We therefore respectfully ask you to decline to advance the bill as presently drafted.**

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, publishers, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product ("GDP") in 2020.³ Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls.

I. The bill imposes unconstitutional restraints on access to information by Arizona minors.

HB 2861 would prohibit a social media platform from targeting advertising to an Arizona minor based on the minor's personal information, except for age and location.⁴ This prohibition on use of data for advertising would be overinclusive and therefore unconstitutional. All Americans, including Arizona's minors, have a First Amendment right to receive truthful advertising. It is not clear what governmental interest HB 2861's near total prohibition on targeted advertising by social media platforms to Arizona minors purports to advance, nor can such a ban be narrowly tailored to advance any reasonable state objective.⁵ Simply put, the bill's restrictions on targeted advertising to an Arizona minor would violate Arizona minors' First Amendment right to receive lawful information.

II. The bill also imposes unconstitutional restraints on the lawful commercial speech of businesses and nonprofits.

HB 2861 would impinge on the First Amendment rights of businesses and mission-driven nonprofits to communicate their lawful messages. Time and time again, courts have affirmed First Amendment protections for commercial speech such as advertising by making clear that consumers, businesses, and society overall have strong interests in the free flow of commercial information.⁶ If enacted, HB 2861 would prohibit myriad Arizona businesses and nonprofits from efficiently reaching teenagers with their important messages, including churches, emergency assistance humanitarian organizations, housing organizations, educational or trade program opportunities,

² Wendy Davis, MEDIAPOST, *Judge Blocks Texas Restriction on Targeted Ads to Teens* (Feb. 7, 2025), located [here](#).

³ John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf.

⁴ HB 2861, Section 1, § 18-701(A)(3).

⁵ *Central Hudson Gas & Elec. Corp. v. Public Service Commission of New York*, 447 U.S. 557, 564-66 (1980).

⁶ See, e.g., *Va. Pharmacy Bd. v. Va. Consumer Council*, 425 U.S. 748, 756-57 (1976); *Sorrell et. al. v. IMS Health Inc.*, 564 U.S. 552, 570-71 (2011).



military recruiters, and countless other charitable organizations on channels frequented by these audiences.

III. The broad sweep of the bill would limit Arizona minors' ability to access important information online.

Outlawing targeted advertising by social media platforms to Arizona minors would limit Arizona teenagers from reaching a wealth of information and content that otherwise would be at their fingertips. Furthermore, HB 2861 would treat an Arizona 7-year-old the same as a 17-year-old. A one-size-fits-all approach would disadvantage both age groups by failing to account for the significant differences between these groups in terms of their use of the Internet. The bill's ban would hamper older minors' growth by limiting access to information and resources that could be foundational to their maturation, development, and education. It would limit their ability to access information about universities, trade programs, military recruitment, job opportunities, cars, apartments, and other resources for their future. It would also restrict them from being active participants in the digital economy, which could have a significant and negative impact on Arizona businesses. Shrinking the variety of products, services, content, viewpoints, voices, and information 17-year-olds can reach and depriving this cohort of the Internet's vast benefits will not protect them, but instead will ensure they will not have the same experience with the Internet as their contemporaries living in other states.

A federal court in Texas found a similar restriction unconstitutional just this month.⁷ The Texas law, which outlawed targeted advertising to minors unless parents provided consent for the activity, was struck down on First Amendment grounds. The court found no specific or compelling state interest articulated for removing teens' access to targeted advertising and stressed how targeted advertising can benefit minors by providing access to scholarship, learning, and other opportunities. The court also noted that the law provided no justification for limiting a teenager's ability to view targeted advertising on a social media platform when targeted advertisements could reach the minor on a sports or shopping website. HB 2861's prohibition is even broader than the invalidated law in Texas, as HB 2861 proposes a flat ban on social media companies targeting *any* advertising to minors based on their personal information (except for age and location) while the Texas law would have allowed targeted advertising with parental consent. As a result, HB 2861 is unlikely to withstand legal scrutiny.

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⁷ *Students Engaged in Advancing Texas v. Paxton*, 2025 WL 455463 (W.D. Tex. Feb. 7, 2025) (located [here](#)).



While we agree with protecting Arizona minors online, HB 2861 would do the opposite while imposing a severe, unnecessary, and unconstitutional restriction on targeted advertising. We urge you to defend the constitutional rights of Arizona businesses and minors, and we encourage you to take steps to ensure Arizona teens can continue to participate in the digital economy. We ask you to decline to advance HB 2861 as presently drafted. We would welcome a meeting with you to further explain our concerns with the proposed legislation.

Thank you for your consideration of this letter.

Sincerely,

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